The GDP deflator, which measures economy-wide inflation, is also relatively low. It rose from 100 in 2012 (the 2011–12 series) to 138.8 in 2020, an average of 4.3 per cent.

In January 2011, the government established the Consumer Price Index-Combined (CPI-C), a composite all-India index. Earlier, there were consumer price indices for specific consumer segments, like industrial workers, agriculture labourers and so on. The inflation target, given as a legislative mandate for RBI in 2015, is also set in terms of the CPI-C.

The CPI-C rose from 93.3 in 2011–12 to 146.3 in 2019–20, registering an annual increase of 5.9 per cent, way above the average annual increase of 1.62 per cent recorded in the wholesale price index or 4.3 per cent in the GDP deflator.

The CPI-C represents a much lower proportion of goods and services produced and consumed in India. Therefore, it is not really a good measure of inflation of overall consumption. It also does not represent inflation in investment goods. Moreover, it gives excessive weightage to food and beverages (54.18 per cent). Food items are also quite volatile as well, especially vegetables. The CPI-C is the wrong index to target in India’s effort to control inflation.

RBI has adopted CPI-C and the inflation as recorded in CPI-C has to be kept within the tolerable range. The CPI-C design systemically over-projects inflation. As a result, RBI also tends to overreact to control inflation. Unfortunately, the monetary actions of RBI cannot effectively target inflation in food items. This ends up depressing the prices of manufactured goods and overall price levels. Thus, India’s efforts to achieve monetary stability by targeting inflation has proved to be quite a poor exercise.